THE TARIFF THREAT BRIEF · OCTOBER 2026

Trade threats and *the bond market*

A plain-English overview of Andrei Jikh's video **"Trump's Tariff War Just Went Nuclear"** (September 10, 2026). Each claim is checked against public sources, and the video's predictions are scored against what has happened since.

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Summary and fact check, October 17, 2026. Educational only, not financial, legal or tax advice.

01 · THE SHORT VERSION

The video's argument in five lines

Jikh argues that the U.S. is losing its biggest lenders just as it most needs cheap borrowing. Washington is quietly working to keep them, and savers will end up paying.

1. **Trump made a new threat.** He said the U.S. would stop trading with countries it runs a deficit with unless the Fed cuts rates.
2. **Those countries are America's lenders.** For decades they recycled their trade dollars into U.S. Treasuries, so threatening them threatens demand for U.S. debt.
3. **Some are already pulling back.** Gold moves out of New York, Norway's proposed Treasury cut, Japan's record reserve drop and Europe's push to keep savings at home.
4. **Washington is paying them to stay.** It offers dollar loans against Treasuries, swap lines, buybacks and rule changes that make banks and stablecoins hold more U.S. debt.
5. **The likely endgame is "financial repression."** Rates are held below inflation and debt is moved to short-term bills, all without printing money in a way that shows up clearly in the data.

How to read this brief

Each big claim is tagged with what we found:

CHECKED matches public sources PARTLY TRUE real but overstated or missing context NOT CHECKED opinion, prediction or unconfirmed

New in this brief: a **prediction scorecard** (page 9) showing how the video's forecasts have held up five weeks later.

Know the source. This is a YouTube finance video with a paid sponsor segment (a news-comparison app), affiliate links (brokerage, crypto and hardware wallets), a link to an analyst's paid research and a pitch for a paid membership. It was published September 10, six days before a Fed meeting, so several claims are predictions we can now check.

02 · THE THREAT

"Lower the rate or I'll stop trading"

> *"LOWER THE RATE OR I'LL STOP TRADING WITH COUNTRIES WITH WHICH WE HAVE A DEFICIT."*
>
> President Trump, Truth Social, September 4, 2026. He called a trade cutoff potentially "better than tariffs." CHECKED

~$1.2T
U.S. trade deficit with all partners last year CHECKED

$200B+
The deficit with China, the largest. Mexico and Vietnam came next. CHECKED

$88.6B
The July 2026 goods and services deficit, up from $71.2B in June CHECKED

Two numbers in the clip

- **"Each point costs us $650 billion."** OVERSTATED Marketable U.S. debt is about $31 trillion, so a full percentage point, once all of it rolls over at the new rate, costs roughly **$310 billion a year**. That's huge, but about half the figure in the clip. The full cost also builds over years as debt matures.
- **"About $300 billion a month in trade"** with the listed partners. NOT CHECKED That's plausible for total two-way trade with the largest partners, but we didn't confirm it.

Why the threat is hard to carry out

As the video itself notes, the U.S. imports fuel, food, car parts and medicines from Canada and Mexico, often in tightly linked supply chains. Cutting off trade would raise prices at home, which would push inflation and long-term rates up, the opposite of what the threat is meant to achieve. Most economists read it as leverage on the Fed, not a likely policy.

A trade deficit isn't a debt. It just means Americans bought more from a country than it bought from us. The dollars come back as investment, including Treasury purchases. That's why the video links trade to the bond market. Cut the trade, and you also cut a source of buyers for U.S. debt.

03 · THE FED'S BIND

Why the Fed can't simply cut

The video's core point is that cutting short-term rates while prices are rising could push long-term rates up instead of down.

Why it may need to cut

Interest, Social Security, Medicare and veterans' benefits together are, by analyst Luke Gromen's measure, about 105% of federal revenue. That "true interest expense" is growing faster than taxes. Every rate rise makes the debt costlier. NOT CHECKED

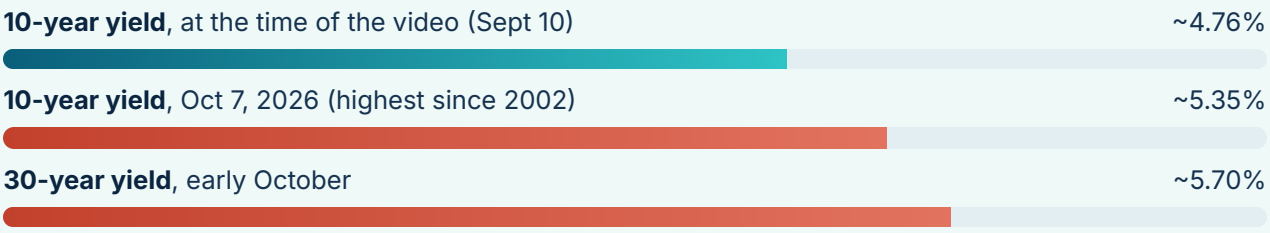
Why it can't cut

Prices are rising. The video cites diesel refining margins tripling since the Strait of Hormuz closed, a commodity index at a 10-year high, and businesses reporting the highest prices paid in four years. Cutting into that could look like giving up on inflation. NOT CHECKED

How long rates react

Long-term yields reflect what lenders expect inflation to be over 10 or 30 years. If the Fed cuts while inflation is running hot, lenders may demand *more* for long-term bonds. That pushes up mortgages, car loans and business borrowing even as short rates fall.

The rates at the time, and now



Long rates kept climbing after the video, as it expected. CHECKED

OPINION The video's claim that Warsh "privately" wants lower rates is speculation. So is the idea that a rate rise would "blow up" life insurers' loan books. Insurers do hold large private-credit portfolios that are hard to value, and regulators have flagged this, but there's no sign of a crisis there.

04 · WHO'S PULLING BACK

The lenders, case by case

Each example is real, but several have more ordinary explanations than "leaving the dollar."

WHO	WHAT HAPPENED	CONTEXT
Netherlands	Moved about 86 tonnes of gold from New York and Ottawa to London between March and August 2026. CHECKED	Called it "crisis preparedness" and better tradability. Part was sold in New York and rebought in London.
France	Its last 129 tonnes in New York were replaced with bars held in Paris (July 2025 to January 2026). CHECKED	A program to replace old, non-standard bars. The governor said it wasn't political. CONTEXT
Germany	Brought 300 tonnes home from 2013 to 2017. About 1,200 tonnes are still in New York, and calls to repatriate them have grown. CHECKED	No decision has been made to move the rest.
Norway	Its $2.3T fund proposed cutting government bonds in its benchmark, which would mean selling about $80B of Treasuries. CHECKED	A proposal awaiting the finance ministry, phased in gradually. The money shifts to other U.S. and global debt.
Japan	The securities in its reserves fell about $88B in August. CHECKED	Tied to defending the yen. "Biggest sale in history" came from a social media post.
EU	The Savings and Investments Union aims to channel part of Europeans' roughly €10T of deposits into European companies. CHECKED	The €300B-a-year outflow figure wasn't confirmed. NOT CHECKED
China	Is now enforcing its existing 20% tax on income from foreign stocks, and has widened checks to offshore trusts. CHECKED	An old rule, newly enforced. It's aimed at tax collection and capital at home.
China and the SCO	The SCO bloc's September declaration, signed by China, Russia, India and Pakistan, condemned strikes on Iran. PARTLY TRUE	It named the U.S. and Israel for the strikes, but didn't name U.S. sanctions.

The big picture: foreign central banks' holdings of Treasuries have been roughly flat for about a decade while U.S. debt doubled, and the dollar's share of world reserves is at its lowest this century. The video's "below 57%" and "lowest on record" weren't confirmed exactly. The trend is real and slow, as Jikh himself says: "this could take decades."

05 · OIL, CHINA AND INFLATION

Why oil runs through all of this

Oil drives inflation, inflation drives bond yields, and the U.S. needs yields down. So Washington has been fighting oil prices.

283M
Barrels in the U.S. Strategic Petroleum Reserve in early October, the lowest since 1982 CHECKED

$100+
Shanghai crude in early September, with Brent near $97.50 CHECKED

~$1.2T
China's yearly trade surplus, the world's largest CHECKED

China's buying power

The video's argument: China stopped importing oil when the Strait of Hormuz closed and lived off its stockpiles. Now it's buying again to refill them, outbidding others and pushing prices up. That lifts U.S. inflation and bond yields without China selling a single Treasury. PARTLY TRUE Chinese demand did surge, and Shanghai crude traded above Brent. The premium was about $2.50–3, not $5, in the coverage we found.

"A worthless piece of water"

> *"In 2 years the Strait of Hormuz will be like a worthless piece of water."*
>
> Treasury Secretary Scott Bessent, Sept 1, 2026, on pipelines being built to bypass it. CHECKED

Jikh's sharpest point: once a choke point is used as a weapon, everyone who depends on it builds a way around it. He argues the dollar, used for sanctions, is a choke point too, and that countries are slowly building routes around it as well.

For more on the bond market and the debt math, see **The Debt Spiral Brief**. For gold and the dollar's reserve role, see **The Dollar Brief**.

06 · PAYING LENDERS TO STAY

"Borrow against them, don't sell them"

Instead of letting countries dump Treasuries to defend their currencies, the U.S. is offering them dollars with Treasuries as collateral.

- **Japan:** to defend the yen in late July, Japan spent about $87 billion over two days. Bessent publicly urged it to borrow dollars through the Fed's FIMA repo facility, a program that lends dollars to foreign central banks against their Treasuries, rather than sell. He also pushed for the facility to be "upsized." CHECKED The video's "$60 billion a day" limit wasn't confirmed. NOT CHECKED
- **The Gulf:** Bessent said several Gulf and Asian allies asked for swap lines. The UAE discussed a currency swap through the Treasury's Exchange Stabilization Fund, which has only about $40 billion of room. CHECKED A "$58 billion loan to Saudi Arabia" wasn't confirmed. NOT CHECKED
- **Buybacks:** Treasury raised its long-bond buybacks to $6 billion per operation and has about $950 billion in its cash account. CHECKED

Rule changes that create buyers

Bank capital rule (eSLR): regulators eased the leverage limit on big banks in 2025, freeing them to hold more Treasuries. CHECKED

GENIUS Act (2025): stablecoins must be backed by cash or short-term Treasuries. CHECKED

CLARITY Act: the crypto market-structure bill. The Senate scheduled a procedural vote after September 15, with ethics and stablecoin-reward rules still being negotiated. It hasn't become law. CHECKED

The Fed itself: it ended balance-sheet shrinking (QT) on Nov 30, 2025 and now buys Treasury bills each month, $40B at first and about $10B now, for "reserve management." CHECKED

PARTLY TRUE The video says the Fed will claim its balance sheet "is getting smaller." It actually stopped shrinking in late 2025 and is growing slowly. The Fed calls the bill buying technical; critics call it quiet support for the debt.

07 · THE ENDGAME

Financial repression, explained once more

The video's forecast is that the U.S. will borrow at rates lenders can't set, so the bill is paid by anyone holding dollars or bonds that earn less than inflation.

1. **Look tough on inflation.** Hold rates, or raise them a little, so bond investors stay calm.
2. **Borrow shorter.** Move borrowing from long-term bonds, whose rates the market sets, to short-term bills, whose rates the Fed sets.
3. **Create required buyers.** Rules that lead banks, stablecoins, money funds and pensions to hold U.S. debt.
4. **Keep foreign lenders in.** Loans and swaps so they don't sell.
5. **Wait for a reason to cut.** A jobs shock, a market break, war or a bond market "accident" like the Bank of England's 2022 rescue would give cover to lower rates.

PREDICTION

Where it holds up

Each step lines up with documented actions: more short-term borrowing, buybacks, the bank capital rule change, the GENIUS Act, FIMA repos and Fed bill buying. The post-WWII playbook really did combine these tools.

Where it's a leap

That it's a coordinated plan, or that Trump, Bessent and Warsh are secretly aligned, is the "camp two" view, and the video says the market mostly holds the other one. Each policy also has a stated purpose of its own, like market stability, bank rules or crypto regulation.

What it means for savers: if rates are held below inflation for years, cash and bonds lose buying power while the balances still grow. That's the common thread across these briefs. Check your **real** return: what you earn minus inflation. The Dollar tracker shows the live number.

08 · PREDICTION SCORECARD

How the video's calls look five weeks later

The video was published September 10, 2026. Here is what it expected, and what happened by October 17.

THE VIDEO EXPECTED	WHAT HAPPENED	RESULT
On Sept 16, a quarter-point hike, or a hold	The Fed raised rates a quarter point, unanimously, to 3.75–4.00%.	RIGHT
Most of the market expected a hold or a hike, not a cut	No cut. The Oct 7 minutes say most officials expect another hike by year end.	RIGHT
Long-term rates keep climbing	The 10-year went from about 4.76% to about 5.35% (Oct 7), and the 30-year to about 5.70%.	RIGHT
Treasury keeps shifting to short-term debt and buybacks	Buybacks went to $6B per operation, and more borrowing went into bills.	RIGHT
Oil and diesel prices keep rising	The oil reserve fell further, to 283M barrels. Prices stayed high.	MOSTLY RIGHT
The Fed eventually cuts, using some crisis as cover	No cut yet. The next meeting is Oct 27–28.	PENDING
Trump actually stops trading with deficit countries	No cutoff has happened.	NOT YET
The CLARITY Act is rushed through	A Senate procedural vote was planned for after Sept 15. It isn't law.	PENDING

How to use this: the near-term calls were mostly the market's consensus at the time. Futures were already pricing a hike, so getting them right isn't proof of the bigger theory. The long-range claims, a hidden plan and a crisis-driven cut, are still untested. Treat them as a scenario to watch, not a signal to act on.

09 · FACT CHECK

Claim by claim

THE VIDEO SAYS	WHAT WE FOUND	STATUS
Trump threatened to stop trading with deficit countries unless rates fall	Truth Social post, Sept 4, 2026.	CHECKED
Each point of interest costs $650B	Closer to about $310B a year on about $31T of marketable debt.	OVERSTATED
"True interest expense" is 105% of revenue	Luke Gromen's measure. Not confirmed from budget data.	NOT CHECKED
The 10-year is about 4.76%, and the 30-year is above 5.2%	Consistent at the time. Both are higher now.	CHECKED
Dutch moved 86 tonnes of gold to London	From New York and Ottawa, March to August 2026.	CHECKED
France took all 129 tonnes back from New York	True, as part of a bar-upgrade program described as not political.	PARTLY TRUE
Germany brought 300 tonnes home, and 1,200 remain at the Fed	2013–2017 repatriation. About 1,200 tonnes still in New York.	CHECKED
Norway is cutting about $80B of Treasuries	A proposed benchmark change, not yet decided.	PARTLY TRUE
Japan made its biggest foreign securities sale ever	Reserve securities fell about $88B in August, tied to defending the yen. "Record" not confirmed.	PARTLY TRUE
Dollar reserve share below 57%, lowest on record	Lowest this century, per IMF data coverage. The exact figure wasn't confirmed.	PARTLY TRUE
China put a 20% tax on foreign-stock dividends	An existing 20% tax, now being enforced.	PARTLY TRUE
Xi, Russia, India and Pakistan condemned U.S. strikes and sanctions on Iran	SCO declaration: strikes condemned. U.S. sanctions not named.	PARTLY TRUE
The oil reserve is the lowest since about 1982	283M barrels in early October, the lowest since 1982.	CHECKED
Shanghai crude above $100, $5 over Brent	Above $100. The premium was about $2.50–3.	PARTLY TRUE
Bessent: Hormuz a "worthless piece of water" in 2 years	Said Sept 1, 2026.	CHECKED
Japan can borrow up to $60B a day against Treasuries	The FIMA repo push is real. The $60B limit wasn't confirmed.	PARTLY TRUE
Saudi Arabia got a $58B loan	Not confirmed. Gulf swap talks via the ESF were reported.	NOT CHECKED
Rules eased for banks to hold more Treasuries	The eSLR change was finalized in 2025.	CHECKED

10 · WHAT THIS MEANS FOR YOU

Practical takeaways from a noisy story

Nothing here says what to buy or sell. These are the everyday effects of trade fights, oil shocks and high long-term rates.

1. Rates and big purchases

Mortgage and car-loan rates follow the 10-year yield, which is near a 24-year high. If you're buying, compare several lenders and ask about rate locks. If you have variable-rate debt, see The Rate Hike Brief's checklist.

2. Prices at the pump and store

Fuel and diesel feed into the price of nearly everything that ships. Budget for higher costs on travel, food and goods that come by truck while oil stays high.

3. Your real return

If savings pay less than inflation, they lose buying power. Compare insured high-yield savings, CDs and Treasury bills on what they pay after inflation.

4. Headlines vs. policy

Threats on social media move markets for a day. Laws, Fed decisions and Treasury announcements move them for years. Watch the official calendar: Fed meetings, Treasury refunding announcements and CPI release dates.

If you trade on news

- Macro stories like this play out over months and years, and the video says "decades." They rarely line up neatly with short-term price moves.
- Correct short-term calls are often just the market consensus. Check what was already priced in before treating a forecast as an edge.
- Speculative assets such as meme coins can drop 80–100%. Size positions so a total loss won't hurt your bills, and test any automated strategy on paper first.

This brief is educational. It isn't financial, investment, legal or tax advice, and it doesn't consider your situation.

A plain-English glossary

Trade deficit	Buying more from a country than it buys from you. The dollars usually return as investment.
Treasury yield	The interest rate on U.S. government debt, set by buyers at auction and in trading.
Long end / short end	Long-term rates (10–30 years) are set by the market. Short-term rates (bills) follow the Fed.
Gold repatriation	A central bank moving gold it stores abroad back home or to another vault.
Sovereign wealth fund	A government-owned investment fund, like Norway's $2.3 trillion oil fund.
FIMA repo facility	A Fed program that lends dollars to foreign central banks against their Treasuries, so they don't have to sell them.
Swap line	An agreement to exchange currencies temporarily, giving a country quick access to dollars.
Exchange Stabilization Fund	A Treasury fund that can be used to support currencies and markets.
Strategic Petroleum Reserve	The U.S. government's emergency oil stockpile, stored in salt caverns.
eSLR	The enhanced supplementary leverage ratio: a capital rule that limits how much big banks can hold, including Treasuries.
QT / QE	Quantitative tightening shrinks the Fed's balance sheet. Quantitative easing grows it by buying bonds.
Financial repression	Keeping rates below inflation so debt shrinks over time, paid for by savers.
SCO	The Shanghai Cooperation Organisation, a bloc including China, Russia, India and Pakistan.

12 · SOURCES

Where the facts come from

Checked October 17, 2026.

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- **CLARITY Act vote:** Cointelegraph · cointelegraph.com/news/us-senate-clarity-act-september-vote... · Fed bill buying: TFTC · tftc.io/fed-reserve-management-purchases-t-bill-buying-2026
- **Sept 16 decision and later yields:** Securities.io and Forbes, as cited in The Rate Hike Brief and The Debt Spiral Brief.

THE TAKEAWAY

Watch what they do, not what they post.

Trade threats make headlines, while debt maturities, Fed decisions and rule changes shape your rates for years. Track the actions, check your real return, and treat bold forecasts as scenarios, not certainties.

See today's yields, inflation and the national debt on the Main Street Agent Dollar tracker.

Open the Main Street Agent Dollar tracker →

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